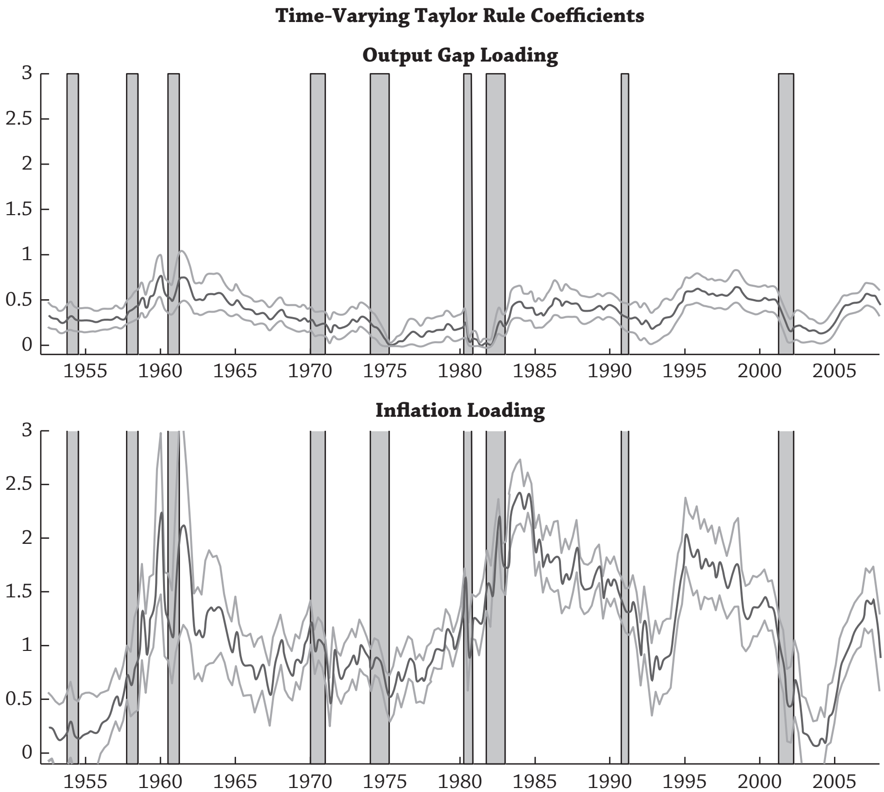

Figure 9.5

One question that Ang et al. can address is the existence of a *Greenspan put* (and after him a *Bernanke put*), which refers to the propensity of the Fed to open the spigots and provide liquidity whenever the economy experiences bad shocks—thereby, in the view of some critics, rescuing investors from their own risky decisions and encouraging ever-greater recklessness. Some commentators, including John Taylor, raised the possibility that short-term interest rates were held too low for too long after the Fed lowered interest rates in response to the 9/11 terrorist attacks and the 2001 recession.[12] Figure 9.6 from Ang et al. (2011) plots the path of the short rate after 2001 compared with what it would have been had the Fed maintained its output and inflation stances in 2000. The difference between the solid line (data) and the dashed line (which is the counterfactual) is a quantitative measure of the Greenspan put. Interest rates from 2002 to 2005 would

[12] See Taylor, J., "How Government Created the Financial Crisis," *Wall Street Journal* op-ed, Feb. 9, 2009.